

Democracy Does Not Automatically Make Countries Equal. But It May Make Extreme Inequality Harder to Sustain.

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What a cross-country analysis suggests about wealth, human capital, markets, and the limits of democracy.

[Acemoglu, Naidu, Restrepo and Robinson \(2015\)](#) found that democracy did not reliably reduce inequality. This was against the popular theory set out by [Meltzer and Richard \(1981\)](#).

Think of autocracies as monopolies. There is no incentive to appeal to the people as they have no choice but to consume their product, in this case, they have no choice but to live under their incumbents. (Healthy) Democracies are like competitive markets. If the prosperity from the incumbents' decisions does not suffice, they risk getting kicked out of office, creating the incentive to provide prosperity to the people. This means that self-interested politicians in a healthy, competitive democracy will be forced into passing policy that improves the people's living conditions.

Meltzer and Richard's theory states that democracy will lead to less inequality. When the mechanism that selects a person to run a nation is majority rule democracy, and when we assume people are voting for their own self-interest, poor voters vote for welfare programmes, redistribution, and other policies that target inequality. Rich voters vote for the opposite: lower taxes and less redistributive action. Ultimately the deciding vote lies with the median voter. If the average wealth is substantially higher than the median, it is likely that the incentive for the median voter is to vote in tandem with the poor voter. This leads democracies to possess bigger states and lower inequality than autocracies assuming the median wealth is lower than the average.

Many believe in this theory, alongside the belief that higher levels of inequality are detrimental to democracy. Alas, these perspectives are not supported by the literature.

[Scheve and Stasavage's](#) 2017 review concludes that neither the idea that democracy produces wealth equality, nor the idea that wealth inequality causes democratic failure, is supported by the evidence.

The aforementioned paper by [Acemoglu, Naidu, Restrepo and Robinson \(2015\)](#) found that democracies have a robust effect on tax revenue as a fraction of GDP, but "no robust impact on inequality".

These findings in the literature align with what I found analysing the data myself. I extracted various metrics from the World Bank's API. For context, HCI (Human Capital Index) measures the health and education outcomes a child born today is expected to have accumulated by age 18, based on survival rates, expected years of schooling adjusted for learning quality, and health indicators. It is an outcome measure, not a measure of government spending.

In the dataset of 153 countries, democratic health correlates with lower levels of inequality, but the relationship is weak, roughly 5% of inequality was explained by democracy, and it isn't statistically robust. This was **weaker** than the relationship between inequality and HCI (17%).

When controlling for HCI, democratic health has no predictive power over inequality.

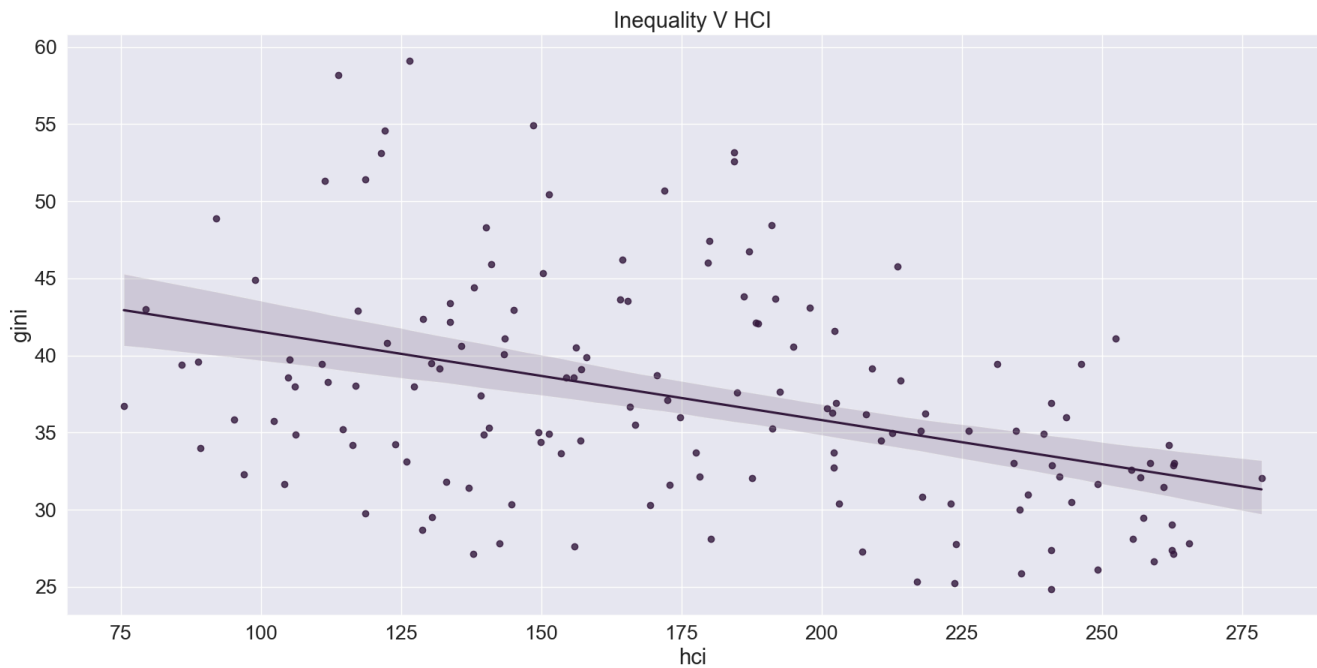
Democratic health having no predictive power when controlling for HCI makes sense. The mechanism by which we expect lower inequality to occur as a result of more democracy would take place via fiscal redistribution and higher-quality human capital outcomes. This makes HCI a mediator, not a confounder, but the same results manifest when using wealth. Inequality and wealth have a more significant relationship (14% variation predicted, however this isn't what it seems, you'll see later), and democratic health loses all predictive power when controlling for wealth. Since wealth likely isn't a mediator, we can infer that democratic health isn't statistically robustly correlated with inequality.

Why is democracy so bad at predicting inequality? Well, according to [Wong \(2021\)](#), there are two qualities in democracies that are important for this topic. "Contestation", the amount of political conflict and competition between parties and institutions, and "Inclusiveness", the amount of participation in a democracy (how much people vote, for example). Wong (2021) states that contestation provides the incentive to redistribute whilst high inclusiveness doesn't automatically translate into it.

"Whereas contestation provides incentives for politicians to redistribute, suffrage or participation alone (without competition) affords elites further control over the population and reduces its redistributive threat."

The theory suggests that focusing on democratic contestation can help with more fiscal redistribution, thus bringing down inequality. If contestation causes redistribution, and redistribution causes human capital outcomes, the work by Wong (2021) fits my analysis as I found HCI to be the only metric to consistently move with inequality.

HCI was found to be the only metric, out of the various ones tested, that shows a consistent and robust (negative) relationship with inequality. So, what predicts HCI? One would assume democracy would be an accurate predictor. However, the wealth of a nation is a stronger predictor, with 71% (under a linear fit, under a quadratic it's 80%) of the variation in HCI being predicted from wealth.

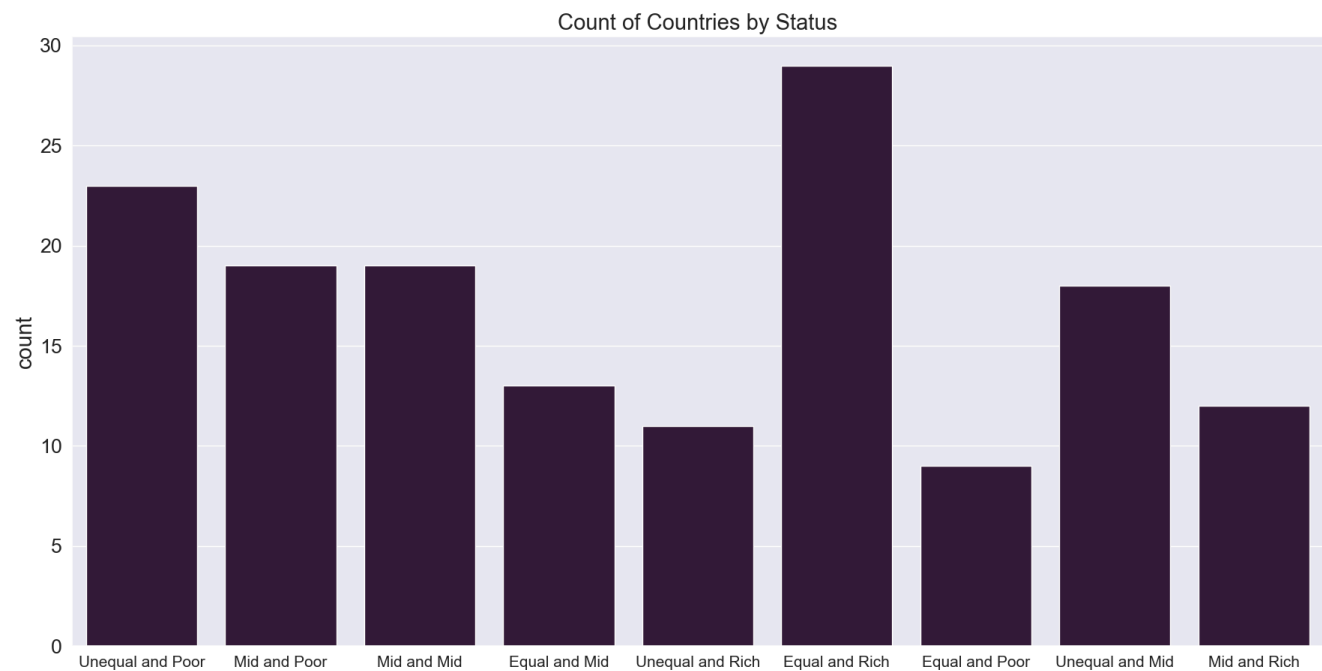


Despite this, HCI only accounted for 17% of the variation in inequality. There are other factors at play here.

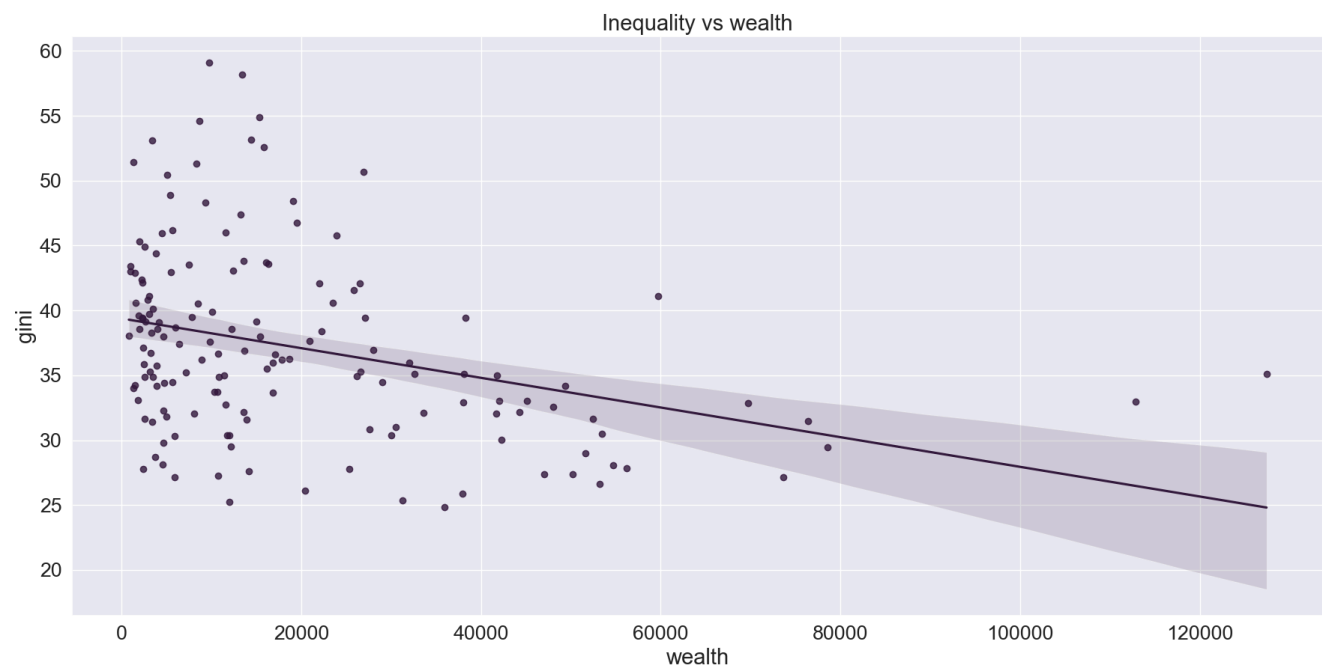
So far, we have concluded that democracy doesn't, in any statistically robust manner, predict inequality. HCI does reliably, but weakly, predict inequality, and wealth seems to be a better predictor of HCI than democracy.

One can theorise that wealth is needed to build the necessary infrastructure and social attitudes for redistribution and other policies that will further human capital. Poorer, disillusioned, and less satisfied people are less likely to accept higher taxes and government involvement, meaning that even with democracy, poorer nations are less likely to enact redistributive actions. Taken together with the analysis by Wong (2021), this suggests that lower inequality can occur with high wealth for infrastructure and democratic contestation for incentives to redistribute. This is consistent with the dataset in that it shows Equal+Rich and Unequal+Poor countries appearing

the most, and Equal+Poor and Unequal+Rich countries appearing the least.



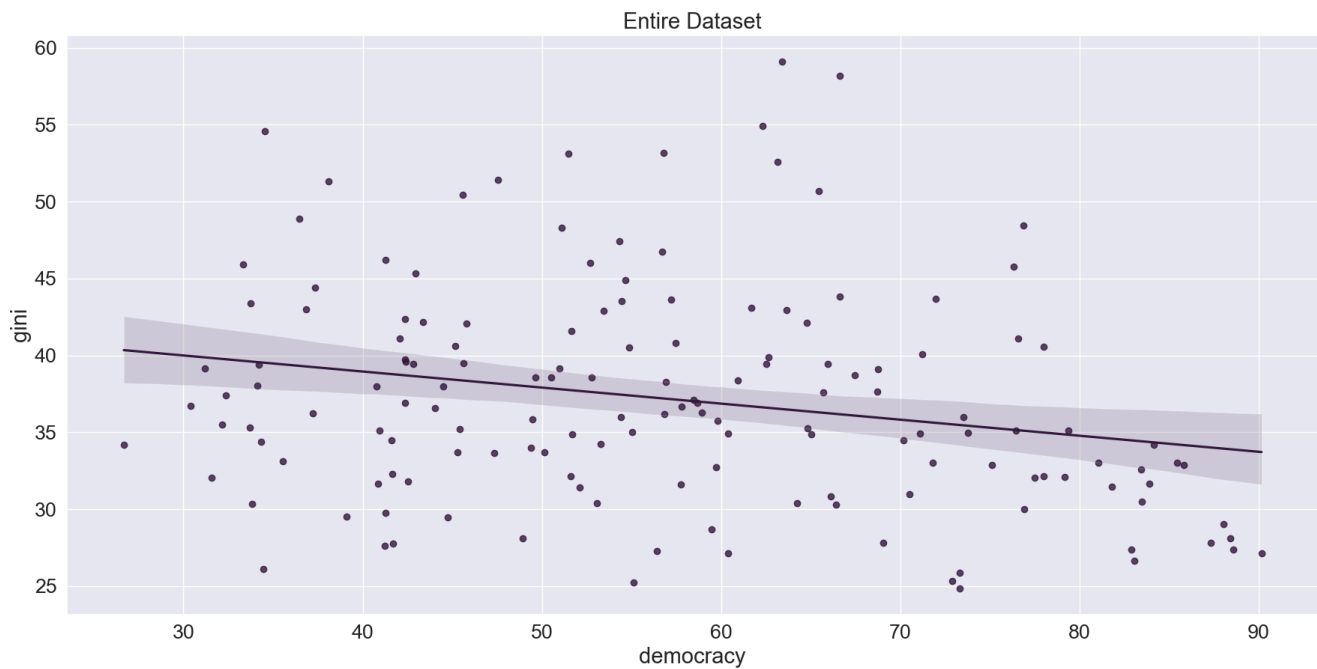
If this theory is true, we would assume that wealth would predict inequality when interacting with democracy, but the relationship wealth has with inequality doesn't strengthen with democracy in the dataset. However, there is still a relationship!! kinda.

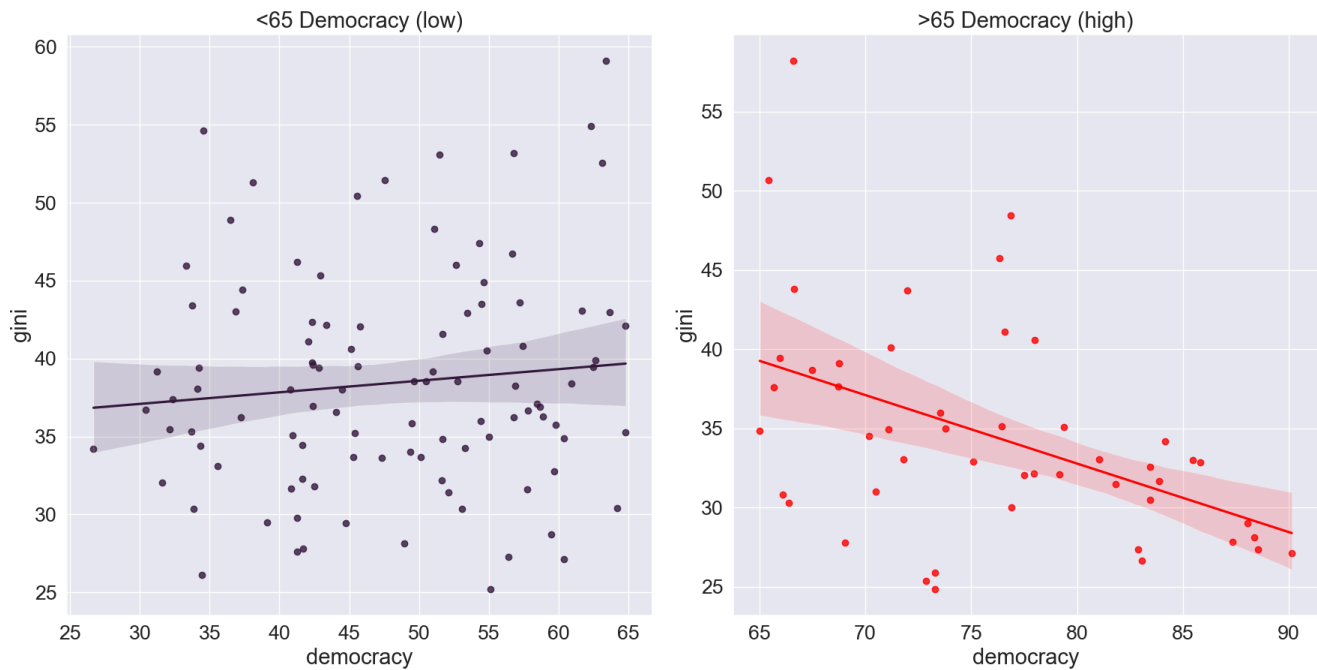


I noticed a phenomenon in the dataset. There are two types of economies, poor ones and rich ones. Poor ones are unequal, rich ones are more equal, but wealth has no predictive power over inequality within those groups.



Additionally, I found that rich countries have less variation in inequality. This result is mirrored within the relationship between democracy and inequality. There is a point where the relationship starts becoming more robust. This led me to erroneously conclude that there is a threshold at which democracy manifests lower inequality levels.





Whilst this may seem convincing, it is incorrect. The variance of inequality in higher democratic nations is lower, which produced a more statistically robust result, even though there was no real trend (not reliable, doesn't survive controls). This can act as an explainer as to why there is a weak, non-robust, negative correlational effect democracy has on inequality. It also aligns with existing research on this specific dynamic. [Dorsch and Maarek \(2019\)](#) found that democracy has a middle-ground effect. Essentially, when unusually equal countries democratise, they become more unequal. When unusually unequal countries democratise, they become more equal. Decreased inequality post-democratisation was mainly driven by redistributing market opportunities rather than fiscal redistribution.

In conclusion:

Democracy does not make countries equal. It bounds them, making both unusual equality and unusual inequality harder to sustain, mainly through access to markets rather than through tax and transfer. What actually predicts equality is human capital, and what predicts human capital is wealth. Poor countries are not unequal because they lack democracy; instead, they are unequal likely due to the lack of the necessary infrastructure that wealth pays for. This is a cross-sectional observational analysis; causality cannot be derived.